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Google and Wiz Acquisition

Ryan Benirschke, Stone Chung, Alicia Hsiao, Emi Kobayashi, Dean Wu

Mergers & Acquisitions | Fall 2025

Agenda

1. Background
2. Google's Acquisition
3. Strategic Outlook
4. Acquisition Deal Structure
5. Our Team Analysis

Background

Industry Background

Wiz is a cloud security platform that helps organizations identify, prioritize, and remediate risks across their cloud environments through agentless, multi-cloud visibility and analysis.

Cloud-Native Application Protection Platform (CNAPP)

Cloud Security Posture Management (CSPM)

Threat of New Entrants: Moderate

Bargaining Power of Buyers: Moderate

Bargaining Power of Suppliers: Low

Threat of Substitutes: Moderate

Competitors Rivalry: High

WIZ

Strategic Positioning & Acquisition Rationale

Competitive Positioning:

- Agentless architecture
- Fast, frictionless deployment
- Full cloud-wide visibility
- 50% Fortune 100 penetration

Why Google:

- Accelerate scaling through Google Cloud ecosystem
- Expand R&D using Google's AI + security infrastructure
- Enable high-value liquidity event

Wiz's Alternatives

- Remain independent
- IPO
- Strategic alliances
- Engage other acquirers (AWS, Microsoft, Palo Alto, CrowdStrike)

Google’s Acquisition

Acquisition Timeline

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2020	2021 - 2022	2024	2025
Wiz is founded	Wiz experiences rapid Accounting Rate of Return growth from $1M to $100M in 18 months	Wiz Rejects Google Cloud's $23B Acquisition Offer	Google and Wiz announce an agreement for $32B cash acquisition

Acquisition Synergies

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Synergy	Description	Expected Benefit
Innovation Acceleration	Integration into Google Cloud accelerates product development through AI infrastructure and resources	Faster innovation and time-to-market
AI-Driven Cloud Security	Investment focuses on advancing AI-era cloud security and multi-cloud capabilities	Improved security design, automation, and threat prevention across AI workloads
Operational Efficiency	Automated platform scales security operations and reduces manual workload	Lower total cost of ownership and improved management efficiency
Market Expansion	Wiz's enterprise and startup customer base complements Google's market reach	Broader adoption of Google Cloud and enhanced enterprise growth

Strategic Outlook

The Strategic Problem Google Must Solve: Google's Structural Gap in Multi Cloud Security

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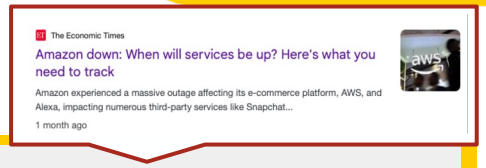
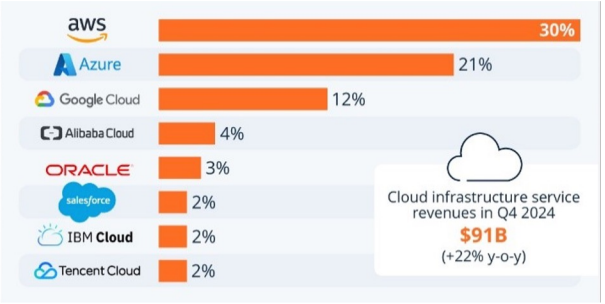
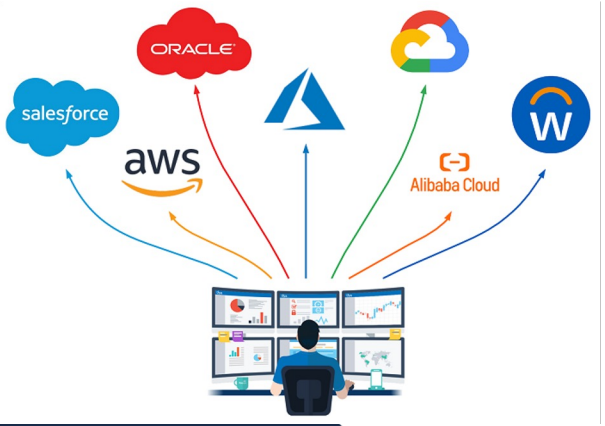

The Economic Times

Amazon down: When will services be up? Here's what you need to track

Amazon experienced a massive outage affecting its e-commerce platform, AWS, and Alexa, impacting numerous third-party services like Snapchat...

1 month ago





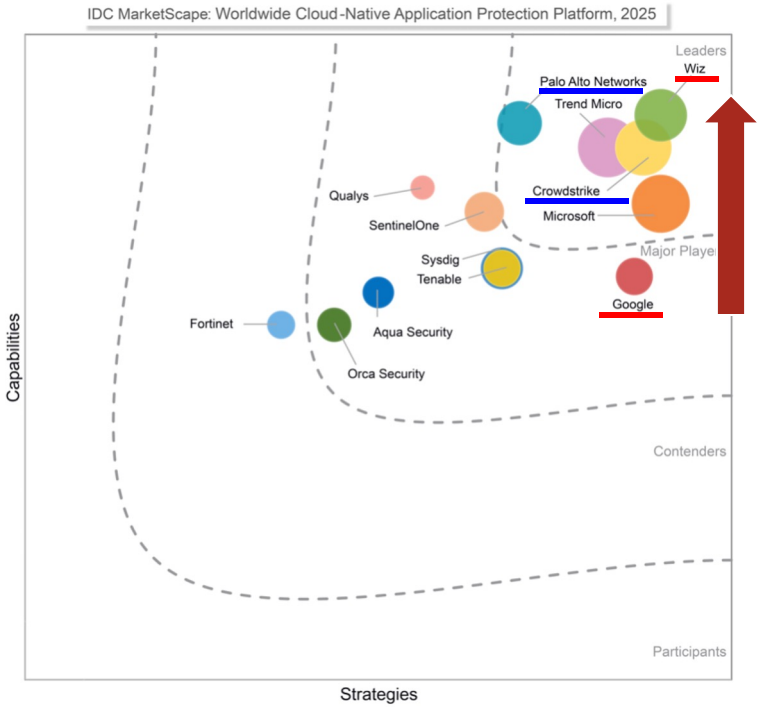
Enterprises are rapidly adopting multi cloud services for following reasons:

1. **Avoid Vendor Lock-In:** Relying on a single cloud provider creates strategic and pricing risks. Multicloud gives enterprises stronger negotiation power and flexibility.
2. **Optimize Workloads Across Clouds:** Different clouds excel at different things: AWS for scale, Azure for enterprise integration, GCP for data/AI so companies place each workload where it performs best.
3. **Increase Resilience and Reduce Outage Risk:** Using multiple cloud providers prevents a single point of failure and improves business continuity.

Customers increasingly demand unified security visibility across all clouds.

While Google's security tools remain largely GCP-centric. This places Google at a structural disadvantage in enterprise cloud adoption. 😭

The Strategic Problem Google Must Solve: Market Consolidation Accelerates Toward End-to-End Platforms



Leaders

Wiz, Palo Alto Network and other competitors are positioned in the Leaders quadrant, and at the very top-right — indicating best-in-class technology capability and strategic execution.

This indicates that:
- the most complete multi cloud coverage
- the fastest enterprise adoption (ARR growing over 100%)
- leading AI-driven and graph-based cloud security

Major Players

Google appears in the Major Players quadrant: strong on strategy but lacking in product depth and completeness.

This indicates that:
- Google Cloud Security lags behind the leaders in technical capability
- its multi cloud visibility and integration remain limited
- enterprises do not view Google as a first-choice security platform
- Google lacks a fully integrated, end-to-end CNAPP solution.

Capabilities (Y-axis): Represents product functionality, technical depth, threat detection capabilities, and multi cloud support.
Strategies (X-axis) : Represents market presence, customer adoption rate, product vision, and growth potential.

Evaluating Google's Strategic Alternatives

Internal development

Partnership

Acquisition

Evaluating Google's Strategic Alternatives

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Evaluation Criteria	Internal development	Partnership	Acquisition
Speed of Execution	• Requires 3–5 years to build full CNAPP capabilities • Google past integrations (e.g., Mandiant) show slow time-to-market	• Fast to start but limited to API-level integration • Cannot accelerate Google's product roadmap	• Instant leap to market-leading technology • Wiz ARR >100% and fastest adoption in CNAPP
Market Competitiveness	• Google remains in IDC "Major Players" quadrant • Cannot close gap with Palo Alto / CrowdStrike	• Provides no defensibility; competitors can replicate partnerships • Does not change Google's quadrant position	• Wiz is in IDC "Leaders" top-right • Immediately moves Google toward platform leadership
Product Completeness	• Google tools remain GCP-centric • Lacks native AWS/Azure visibility and full CSPM/CWPP/CIEM coverage	• Does not enhance native Google capabilities • Still lacks unified multicloud dashboard	• Wiz is natively multicloud (AWS/Azure/GCP/Oracle) • Industry-leading graph-based risk engine and AI security

Acquisition Deal Structure

Google–Wiz Acquisition Overview & Deal Structure

Deal Overview

- **Target:** Wiz — cloud security platform founded in 2020
- **Acquirer:** Google Cloud (Alphabet)
- **Announcement Date:** March 18, 2025
- **Deal Value:** US $32B — largest acquisition in Google's history
- **Expected Closing:** Pending regulatory approvals; expected 2026

Deal Financing & Structure

- **Deal nature:** Friendly acquisition; negotiated and approved by both boards
- **Financing:** All-cash transaction (no stock, no share swap)
- **Strategic context:**
  - Google previously offered $23B in 2024, which Wiz rejected
  - Final agreement reached at $32B in 2025 as cybersecurity grew more critical for cloud platforms
- **Integration:** Wiz leadership to stay on and guide integration under Google Cloud

Source: Google, SEC, Nasdaq

Premium & Revenue Multiple Analysis

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Premium Over Prior Valuations

- 167% premium over Wiz's $12B valuation in the May 2024 funding round
- 100% premium over the $16B late-2024 secondary market valuation
- 39% premium over Google's first acquisition offer ($23B) from mid-2024

Implied Revenue Multiples at $32B Price

- 32× forward revenue
  – Based on projected $1B ARR in 2025

These multiples are among the highest ever paid in cybersecurity M&A:

- Typical cybersecurity deals: 5–15× revenue
- Prior "high watermark," Auth0: 42× revenue
- Google–Wiz clearly priced as a future multi-billion ARR platform, not a typical security vendor.

TARGET	ACQUIRER	DEAL SIZE ($M)	REVENUE ($M)	REVENUE MULTIPLE
Wiz	Alphabet (Google)	$32,000.0	$700	45.7x
Auth0	Okta	$6,408.0	$150	42.7x
KnowBe4	Vista Equity Partners	$4,299.1	$289	14.9x
SailPoint	Thoma Bravo	$6,900.0	$480	14.4x
Mandiant	Alphabet (Google)	$5,325.6	$461	11.6x
Proofpoint	Thoma Bravo	$12,300.0	$1,088	11.3x
Mimecast	Permira Advisers	$5,516.1	$553	10.0x
Ping Identity	Thoma Bravo	$2,792.9	$308	9.1x
Avast	Gen Digital	$8,020.0	$931	8.6x
Barracuda Networks	KKR	$4,000.0	$550	7.3x
Splunk	Cisco	$28,000.0	$3,980	7.0x
Sophos	Thoma Bravo	$3,948.0	$715	5.5x
McAfee	Intel	$6,891.6	$2,003	3.4x

Regulatory & Legal Structure

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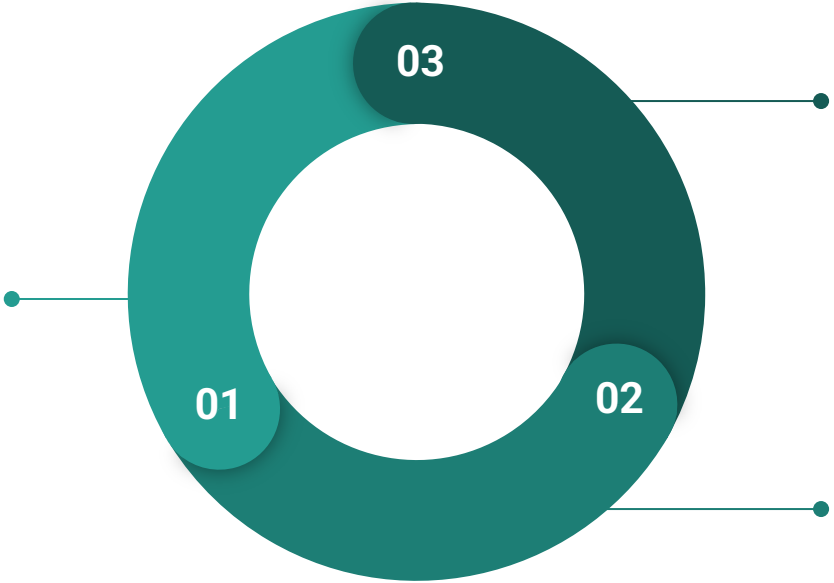
Integration commitment

Google states that Wiz's products will continue to work across all major clouds ("multicloud" support) to ease regulatory concerns.



Regulatory review

United States Department of Justice (DOJ) cleared antitrust review for the deal.

Closing conditions

Subject to regulatory approvals around the world.

Source: Yahoo Finance

Conclusion

Was this a good deal?

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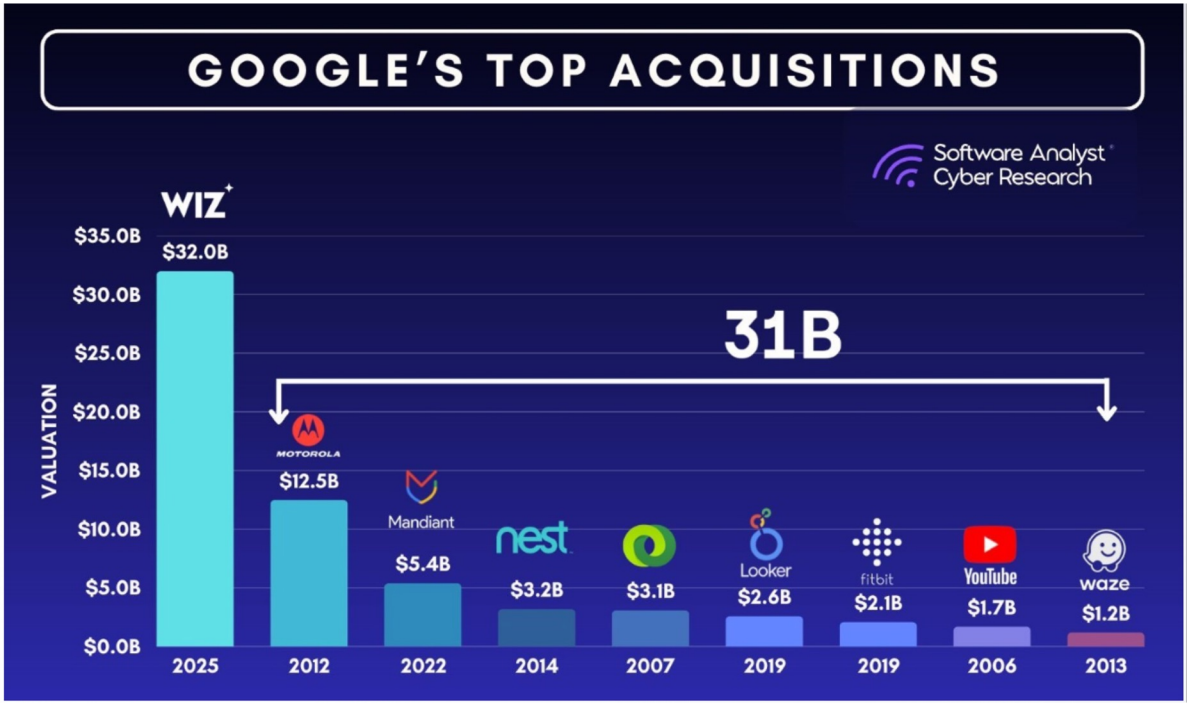
- **Financially**
  - Our team believes this price was too expensive!!!
  - It would have been a much better deal if the initial deal had gone through (around $23B)
  - Overall short-term investor sentiment was negative (Google's stock price dipped as much as 5% at the time of the acquisition announcement)
  - This acquisition cost more than Google's previous 8 acquisitions combined
- **Strategically**
  - This was an important acquisition for Google given the market penetration Wiz already possessed
  - Allowed for Google to become a key player in the cloud security space and access high value Fortune 500 clients
  - No Antitrust violations as of November 2025

Final Decision: Google × Wiz Acq!



Acquisition

Google gains immediate access to AWS and Azure workloads through Wiz's native multicloud design.
Wiz benefits from Google's AI capabilities, threat intelligence, and global distribution.
Together, they can lead the industry shift toward unified cloud security platforms.

Conclusion and Outcomes

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- Google needed to address a few key features in their business and Wiz was the perfect target to help fill those gaps
- Wiz has the chance to scale using Google's massive cloud infrastructure
- If Google's end goal is to build a market leading security platform, this acquisition could very much be the stepping stone they need to get there
- In general, it's hard to put a price tag on synergies and short term investors just see a big price tag
- Given the recency of the acquisition, it remains to be seen how effective this acquisition is for Google's strategic position

Google Cloud + WIZ

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Thank you!